

Money Laundering and Terrorist Activity Financing (MLTF) Suspicious Transaction Indicators

LIST

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Table of Contents

1	Purpose	1
2	Definitions	1
3	Indicators: General.....	2
4	Indicators: Membership/Account Opening	2
5	Indicators: Documentation/Identification	3
5.1	Identification Documents	3
6	Indicators - Transactions	4
7	Indicators: Wire Transfers.....	5
8	Indicators: Safety Deposit Box Activity	7
9	Indicators: Account Activity	7
10	Indicators: Dormant Account	8
11	Indicators: Loan Appointments (<i>Consumer/Commercial</i>).....	8
12	Indicators: Credit Facilities Account Activity (<i>Consumer/Commercial</i>).....	10
13	Indicators related to Human Trafficking - PROJECT PROTECT.....	11
14	Indicators Related to Laundering Proceeds from Illegal Narcotics	11
14.1	Illegal Cannabis/Unlicensed Dispensaries	11
15	Indicators Related to Terrorist Financing	12
16	Indicators Related to Laundering the Proceeds Of Crime Through Underground Banking Schemes – Project ATHENA	13
17	Indicators of Laundering the Proceeds of Romance Fraud - Project CHAMELEON	14
18	Policy Reference	14
	Version History	15

1 Purpose

This document is intended to provide guidance for all staff who open, maintain, and manage memberships, member accounts, or lending products. The list provided is on the indicators for Reasonable Grounds for reporting Suspicious or Unusual Activity.

This is not intended to be an exhaustive listing of all potential indicators of Money Laundering and Terrorist Activity Financing; the absence of an indicator does not conclusively mean the activity or behaviour is not reportable.

This document is supplemental to the [Unusual Activity Reporting Guidelines](#) and the [Unusual Activity Reporting Procedures](#)

Refer to the:

- [Unusual Activity Reporting Guidelines](#) for guidance on reporting Unusual Activity, and
- [Unusual Activity Reporting Procedures](#) for how to complete the Unusual Activity Report.

2 Definitions

Term	Definition
Reasonable Grounds	Reasonable Grounds are an evaluation of relevant factors which would lead multiple parties to the same conclusion about the activity or transaction(s) being conducted. These include, but are not limited to a member's: Nature of business/occupation • Financial history • Background • Behaviour or account activity
Indicators	Indicators that may be used to assess if there are Reasonable Grounds to indicate Suspicious Activity or Unusual Activity. • They may assist in questioning, reviewing, and evaluating all attempted and completed transactions. • The context in which an activity or transaction is attempted or completed is a significant indicator. • A single indicator on its own may not provide Reasonable Grounds; however, if there is a pattern of or presence of several indicators, the AML Compliance Team may need to review a member's overall relationship and transactional behaviour. Additionally, there is no requirement for multiple indicators to be identified to escalate an Unusual Activity Report

3 Indicators: General

The following are examples of potential general Indicators that may be encountered.

Indicator Type	Examples
Detecting A Fact	- Suspected involvement in illegal activity (<i>known from a reliable source - the media or other open sources</i>) - A criminal background or questionable legal reputation
Behaviour	- Providing information that is false or that appears to be unreliable - Not wanting correspondence sent to their home address - Attempting to develop close rapport with staff (<i>using social engineering</i>) - Offering money, gratuities, or unusual favours for the provision of services - Making statements about their involvement in criminal activity - Showing curiosity about internal systems, controls, and policies - Possessing extended knowledge of the law in relation to suspicious transaction reporting - Familiarity with Money Laundering or Terrorist Activity Financing issues
Third-Party	- A Third-Party is accompanying or watching the Member - Member appearing to be acting on behalf of a Third-Party, but does not confirm or disclose Third-Party information when asked - Requesting to open accounts in other people's names

4 Indicators: Membership/Account Opening

The following are examples of indicators that may be encountered at membership or account opening.

Indicator Type	Examples
Behaviour	- Preferring anonymity, reluctance to meeting in person - Providing incomplete and unclear information - Nervousness not in keeping with opening a membership/account - Appearing to have or stating they have accounts with several financial institutions in the area with no reasonable explanation - Providing vague or conflicting information - Appearing to have recently established a series of new relationships with different financial institutions

	• Opening a new membership while residing outside of local service area
Confirming Identity / Information	• Normal attempts to verify member's background are difficult • Attempting to open an account/membership under a false name • Home, cell, or business telephone number has been disconnected or not valid when attempting to contact member after membership opening • Home or business email delivery failure error message when attempting to contact member after membership opening • Using an alias, along with multiple similar yet different addresses (<i>i.e., 123 Front St, 123 Front Ave</i>) • Member using a PO box address instead of a street address (<i>when it is not the norm from the area</i>) • Opening a new business Membership with name very similar to other established business Entities • Providing incomplete or limited information for Nature of Business in business account opening

5 Indicators: Documentation/Identification

The following are examples of potential indicators that may be encountered with documentation or identification documentation.

5.1 Identification Documents

- Lacking vital information (*e.g., photograph, date of birth, legal name*)
- All ID appearing to be new or having recent issue dates
- All ID are foreign issue or cannot be verified
- Requesting to establish or confirm their identity using an alternative to their personal ID
- Spelling name differently from personal ID presented
- Presenting different personal ID documents each time ID update is requested
- Submitting only copies of personal ID documents (*not original ID*)
- Presenting false ID or ID that appears to be counterfeit, altered, or inaccurate
- Business member inordinately delaying presenting corporate documents
- Business member is uncertain about location of company records/documents

6 Indicators - Transactions

The following are examples of potential indicators that may be encountered with transactions.

Indicator Type	Examples
Behaviour & Activity Pattern	- Nervousness not in keeping with the transaction - Transactions indicating Unusual Activity outside of member's regular patterns - Conducting frequent cash transactions in large amounts without previous history of doing so - Conducting frequent large transactions or maintaining a large account balance with no recorded employment history - Making frequent deposits identified as proceeds of sales, but assets cannot be substantiated - Altering the transaction after being asked for ID or clarification details - Presenting different ID documents each time they conduct a transaction - Insisting that transaction be done quickly
Credit Card Transactions	- Depositing cash advances into an account - Making overpayments and then requesting a cash advance - Using cash advances to purchase a draft - Using cash to make large credit card payments
Large Cash Transaction Reporting Thresholds	- Consistently depositing cash amounts under reporting threshold (\$10,000 CAD) - Making inquiries indicating a desire to avoid reporting - Requesting staff not to complete any documentation on the transaction - Performing two or more cash transactions of less than \$10,000.00 CAD each just outside of being 24 hours apart (<i>seemingly to avoid the 24-hour rule</i>) - Structuring amounts to avoid record keeping, identification, or reporting thresholds
Physical Cash	- Reducing transaction amounts to below the reporting threshold (\$10,000 CAD) when presenting uncashed funds counted at the branch. - Large cash deposits with a variety of denominations - Packaged and wrapped bills - Dirty or musty-smelling bills

Indicator Type	Examples
	- Consistent cash deposits for rounded-off large amounts below reporting threshold (<i>i.e.</i>, \$9,900, \$8,500) - Requesting frequent exchange of small bills for large bills - Using cash to make unusually large hydro payments
Foreign Currency	- Requesting to exchange one foreign currency for another foreign currency (<i>i.e.</i>, exchange US Dollars for Indian Rupees) - Requesting large amounts of foreign currency not consistent with known travel plans - Requesting foreign currency in largest possible denominations available
Third-Party	- Third Party accompanying or watching Member - Member appearing to be acting on behalf of a third party but does not confirm or disclose Third Party information when asked - Multiple deposits made to an account by Third Parties - Frequent deposits being made to an account by another Individual or Member who is not an employer or family member
Transaction Information	- Presenting vague knowledge of the amount being deposited - Presenting few details about the transaction and purpose of the transaction - Over-explaining the transaction - Volunteering immediately, the funds are “clean”
Transaction Location	- Conducting transactions at different locations (<i>in an apparent attempt to avoid detection</i>) - Conducting or attempting to conduct multiple transactions on the same day at the same branch but with different staff members

7 Indicators: Wire Transfers

The following are examples of potential indicators that may be encountered with wire transfers.

Indicator Type	Examples
Behaviour and Activity Pattern	<u>Wire Transfer Activity</u> - Unexplained in-and-out wire transfers - High volume of incoming and outgoing wire transfers - Withdrawing cash immediately upon receiving a large wire transfer

Indicator Type	Examples
	<u>Unusual Wire Activity</u> • Size of incoming and outgoing wire transfers inconsistent with member's normal business transactions • Large incoming international wire transfers to business accounts are immediately transferred to another account by authorized signatory (<i>director, president, CFO, etc.</i>) • Wire activity is not in keeping with the member's stated occupation or financial standing (<i>i.e., a student or unemployed individual who receives or sends many wires</i>) • Insisting wire transfer be done quickly • Using a credit card cash advance to wire funds • Sending large wire transfers internationally with instructions for pickup in cash
Countries Involved - Locations of Concern	Wire transfers involving Countries/Locations of Concern are example of a potential indicator. A Country/Locations of Concern is one with highly secretive banking and corporate laws, known for illegal drug production and exportation, and/or possessing no AML system; this includes sanctioned countries and ones requiring enhanced surveillance from FINTRAC. Refer to the Wire Transfer Guidelines for Countries/Locations of Concern under the following headings: • Countries with sanction regulations • Tax haven jurisdictions • Prohibited destinations or currencies
Countries Involved – Path Through Foreign Countries	• Crossing many international lines • Foreign currency exchanges associated with subsequent wire transfers to countries/locations of concern (<i>i.e., countries known or suspected to facilitate Money Laundering activities</i>) • Conducting wire transfers shortly after receiving deposits, through a country/location of concern • Incoming and outgoing international wires with no apparent connection to the foreign country
Sender/ Beneficiaries Involved	• Requesting many outgoing wire transfers to recipients outside of Canada who do not appear to be family members • Not appearing to know the sender of the incoming wire transfer • Not appearing to know the recipient of the outgoing wire transfer

Indicator Type	Examples
	- Several members requesting wire transfers on the same day, or within 2-3 days, to the same recipient - High volume of wire transfers to Third-Party accounts
Reporting Thresholds	- Performing two or more wire transactions of less than \$10,000.00 CAD each just outside of being 24 hours apart (<i>seemingly to avoid the 24-hour rule</i>) - Receiving two or more wire transactions of less than \$10,000.00 CAD each just outside of being 24 hours apart (<i>seemingly to avoid the 24-hour rule</i>) - Structuring amounts to avoid record keeping, identification, or reporting thresholds

8 Indicators: Safety Deposit Box Activity

The following are examples of potential indicators that may be encountered with Safety Deposit Boxes (SDB)

- Visiting their SDB immediately before making a cash deposit
- Substantial increase in SDB visits compared to past history
- Requesting or owning multiple SDB

9 Indicators: Account Activity

The following are examples of potential indicators that may be encountered with account activity.

Indicator Type	Examples
Deposits & Withdrawals	- Regularly returned cheques due to insufficient funds - Unexplained transfers between accounts - Large transfers between accounts appearing to be the pooling of funds from different sources - Account activity showing a sudden change in cash transactions or patterns
Intended / Expected Usage	- High volume of incoming and outgoing electronic transfers inconsistent with intended use, or member's occupation/Nature of Business - Account activity inconsistent with the stated intended use and/or declared Nature of Business - Transactions between businesses that are not usually connected - Large volume of cash deposits to a business not normally associated as being cash-intensive (<i>i.e., law firm</i>)

- Account activity that far exceeds projected/anticipated activity at the time the account was opened
- ATM deposits which contain cash just below the reporting threshold

10 Indicators: Dormant Account

The following are examples of potential indicators that may be encountered with dormant accounts

- Multiple accounts, with some appearing to be dormant for extended periods of time
- Reactivated inactive or dormant account suddenly seeing significant activity
- Receiving a deposit, or multiple deposits, followed by frequent cash withdrawals

11 Indicators: Loan Appointments (Consumer/Commercial)

The following are examples of potential indicators that may be encountered with loan appointments.

Indicator Type	Examples
Supporting Documentation	• Declaring income from foreign sources without providing further details or information which appears false or cannot be verified • Refusing to provide personal ID documents or income supporting documents • Spelling name differently from how it is shown on their ID or land title registration • Financial statements prepared by different bookkeepers or accountants year after year • Financial statements of business inconsistent with similar business types • Representing their financial situation without supporting documentation • Unclaimed income (<i>i.e. not reporting rental income on tax returns</i>)
Third-Party	• Member's supporting documentation (<i>i.e., income verification, employment verification, etc.</i>) provided by a Third-Party with no reasonable explanation • Third-Party is accompanying or watching the Member • Member appearing to be acting on behalf of a Third-Party but does not confirm or disclose Third-Party information when asked

Confirming Identity / Information	• Normal attempts in verifying member's background are difficult • Member providing false information or information you believe to be unreliable • Member providing vague information • Member does not want to disclose all assets or Source of Wealth
Behaviour	• Member preferring anonymity and reluctant to meet in person • Nervousness not in keeping with reason for appointment • Lacking concern with terms of credit or costs associated • Offering large value deposits as incentive for granting loan request • Appearing to be living beyond their means • Insisting loan be completed quickly without reasonable cause
Down Payments	• Source of down payment is inconsistent with borrower's occupation/Nature of Business, background, and income • Appearing to be from unrelated Third-Party • Appearing to be from several different financial institutions • Being made in cash
Employment	• Employment income documentation lacking important details (<i>i.e. – employer address and contact information</i>) • The flow of income through the account inconsistent with stated occupation or intended use of the account • Frequent deposits identified as proceeds of assets sales, but assets cannot be substantiated • Maintaining a large account balance without previous recorded employment history • Member's occupation inconsistent with level or type of activity on their account(s)
Assets	• Member running large positive credit card balances • Member having significant assets and encumbering them with security interests which do not make economic sense • Member having significant assets and liquidating them quickly with no explanation
Nature of Request	• Loan request appearing inconsistent based on member's apparent economic or financial standing

	• Requesting to borrow against assets held by another FI or third party; origin of those assets is unknown • Requesting a loan structure unnecessarily complex for its stated purpose
Real Estate Tax Evasion/Avoidance	• Transactions are passing through a mortgage broker, immigration consultants, and/or tax haven trust accounts. • There is an excessively high or low price attached to the property transferred from the buyer to the seller without adequate supporting documents. • Different members of the same family control the main services linked to the real estate industry such as residential construction companies, real estate brokers and sales representatives, accountants, lawyers and/or notaries. • Third-party purchasing a property on behalf of another person (<i>straw buyer</i>) who cannot complete the transaction on their own, often due to lack of reported income or proper documentation required to obtain a mortgage. • The value of the property purchased is inconsistent with reported/stated wealth and income of client. • Statements from buyers as to the intended use of the property purchased (<i>e.g., residence or investment</i>) are inconsistent. • Investment vehicles or offshore accounts are used for the purchase of property. • Large amounts of money from foreign individuals or entities, located in a country that imposes limits on international transfers are wired through multiple smaller electronic transfers to be ultimately invested in real estate. • Statements or questions are received from buyers as to how to avoid paying taxes on real estate property.

12 Indicators: Credit Facilities Account Activity (Consumer/Commercial)

The following are examples of potential indicators that may be encountered with credit facilities accounts

- Repaying Loan account unexpectedly
- Large, unexpected loan payments made where the Source of Funds is unknown or is not in-line with member's known income source (*occupation or nature of business*)
- Repaying mortgage within a relatively short time
- Third Party, who is not a relative of the member, making loan payments
- Receivables inconsistent with sales or from unlikely sources

13 Indicators related to Human Trafficking - PROJECT PROTECT

- Frequent transfers to virtual currency exchangers, particularly if these funds were sourced from incoming email money transfers from multiple individuals.
- Frequent transfers to individuals who conduct virtual currency exchanges on behalf of third parties, particularly if these funds were sourced from incoming email money transfers from multiple individuals.
- Transfers to individuals or entities that advertise their virtual currency services on escort websites.
- Frequent funds transferred to a reloadable prepaid credit card, particularly to multiple prepaid cards.
- Multiple phone numbers attempting to access a female's bank account.

14 Indicators Related to Laundering Proceeds from Illegal Narcotics

14.1 Illegal Cannabis/Unlicensed Dispensaries

Indicator Type	Examples
Illegal Cannabis / Unlicensed Dispensaries	• Account receives an excessive volume of email money transfers from seemingly unrelated third-party individuals. • Excessive cash deposits and/or merchant credits that do not appear in line with the stated nature of the business. • Incoming email money transfers are quickly depleted by the purchase of bank drafts and/or cheques to seemingly unrelated third-party individuals and/or cash withdrawals. • Incoming wire transfer from virtual currency dealers into individual's bank account, makes reference to cannabis-related terminology (<i>e.g., weed, pot, bud, leaf</i>). • Individual makes excessive or atypical utility payments (<i>e.g., bill payments made to different hydro accounts, multiple individuals paying off the same hydro account, payment amount exceeds expected amount for personal consumption, or bill payments that appear excessive given stated occupation and/or address</i>). • Member conducts large wire transfers to businesses used by the cannabis industry (<i>i.e., hydroponics store, hardware store, and gardening stores</i>). • Cash is used for over-the-counter utility bill payments. • Utility bill payments conducted in multiple branch locations

Indicator Type	Examples
	- Member has a listed address in one province but is paying large utility bills in another province. - Individual provides misleading or falsified documentation concerning cannabis production (<i>i.e.</i>, <i>falsified license certificate for marijuana production</i>).
Laundering Proceeds of Fentanyl Trafficking	- Member deposits cash into an account and then immediately moves it via email money transfers, transfers between accounts, drafts or cheques, or withdraws it, often at multiple financial institutions. - Member has funds coming into and going out from his or her account via email money transfers more quickly than normal. - Member receives payroll deposits out of line with the occupation or employment listed on his or her file, or multiple deposits with no apparent purpose and that are inconsistent with the stated occupation, employment or income. - Member consistently receives deposits from the government (<i>e.g.</i>, <i>welfare</i>, <i>Employment Insurance payments</i>), yet also receives regular cash deposits or e-transfer credits. - Member requests to deposit cheques, such as those for governmental assistance payments, endorsed by third parties. - Member frequently requests drafts payable to self or transfers funds to his or her accounts at other financial institutions. - Member conducts untypical cash transactions given stated KYM information on file. - Member lives beyond his or her apparent means, as evidenced by large credit card or other bills, or expenses for real estate or luxury goods. - Member receives multiple cash deposits made by unrelated third parties, just below the reporting threshold.

15 Indicators Related to Terrorist Financing

- Transaction details (*contact name, email address, funds totals, remittance info etc.*) makes references to words, phrases and/or numbers linked to violent extremist actors, groups, activity, or iconography.
- Individual receives excessive email money transfers (*EMTs*) and/or cash deposits, not in line with stated occupation, and are used in part to fund wires to a high-risk jurisdiction and/or cash withdrawals within a short period of time.
- Payments to online retailers, charities, individuals or businesses that are known, or believed to sell violent extremist paraphernalia, literature and/or merchandise.

- Email money transfers, cheque deposits, online payment service deposits and/ or cash deposit transferred on a monthly basis which lacks any explicit business or economic purpose, often in low dollar amounts, for the suspected purpose of membership fees.
- The use of funds by a non-profit organization is not consistent with the purpose for which it was established.
- Raising donations in an unofficial or unregistered manner.
- Transactions involving certain high-risk jurisdictions, such as locations in the midst of or in proximity to, armed conflict where terrorist groups operate or locations which are subject to weaker ML/TF controls.

16 Indicators Related to Laundering the Proceeds Of Crime Through Underground Banking Schemes – Project ATHENA

Indicator Type	Examples
Fund Transfers through High-Risk Jurisdictions	• Member moves funds received from individuals/entities located in China, notably in Hong Kong, within a short period of time to one or more of the following sectors: real estate, investments, automotive and/or the legal profession. • Member has ties to China and is using their accounts for pass-through activities funded by individuals/entities located in China, notably in Hong Kong, whose relationship is unclear. • Stated purpose of incoming funds from individuals/entities located in China, notably in Hong Kong, is for the purchase of property but the funds were used to purchase Investments. • Incoming funds from individuals/entities located in China, notably in Hong Kong, are used to send funds to high end car dealerships that are inconsistent with members stated occupation. • Incoming funds from individuals/entities located in China, notably in Hong Kong, are used to send funds in a similar amount to a car dealership. • Outgoing fund transfers to entities operating in China, notably in Hong Kong, with references to the automotive industry (<i>such as “car purchases” or “buying cars”</i>) that are inconsistent with member’s stated occupation (e.g., <i>student, homemaker or unemployed</i>). • Cash deposits, not in line with the account holder’s stated occupation, were used to send funds to legal professionals with no clear relationship.
Laundering Through Casino-Related	• Member’s account appears to be used exclusively for casino gaming activity at one or more casinos. For example, there is no evidence of everyday banking such as payroll or bill payments. Instead, the activity consists of casino

Underground Banking Schemes

cheque deposits, bank draft issuances to casinos or point-of-sale purchases, or ATM cash withdrawals at casinos.

- Member's occupational information (*e.g. homemaker, unemployed, student*) is inconsistent with the pattern of financial account activities (*e.g. account shows high volume of casino gaming activity*).
- Member's account activity appears to be circular in nature. For example, client deposits casino cheques followed by the purchase of bank drafts that are ultimately used at one or more casinos. Soon after, casino cheques—whose memo indicates that the funds are not the result of casino winnings—are deposited back into the account.
- Member's account shows a high volume of cash deposits whose source of funds is unknown.
- Member's account shows high volume of casino gaming activity (*such as deposits of casino cheques or bank draft issuances to casinos*) and transactions involving high-value goods (*such as real estate or luxury vehicles*).
- Member reports ongoing source of funds in their account to be casino winnings but no matching debits to casinos are identified.

17 Indicators of Laundering the Proceeds of Romance Fraud - Project CHAMELEON

- Member appears to be pooling all financial resources from various sources (*e.g., credit cards, loans, retirement savings*) and depleting assets (*e.g., home, vehicle, investments and retirement savings*) to fund transfers to individuals/entities
- Member sends funds to another individual, and the amount or frequency of funds sent increases over time.
- Member conducts large volume and/or excessive number of transfers to foreign jurisdictions over a short period.
- Member orders wire transfers that are frequently returned or cancelled.

18 Policy Reference

Anti-Money Laundering and Anti-Terrorist Financing (AML ATF) Policy

Version History

DATE	VERSION	CHANGE
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